Cisco Systems

CSCO | Nasdaq Global Select Market | 2026-10-11

Q4 2027 model ceiling: USD 122.58

Analytical Base 44/60 = 73 | AI infrastructure beneficiary / Watchlist

20 x forward-four-quarter fully expensed operating profit, less end-window face debt net of cash and 90% of customer-finance receivables, divided by end-window diluted shares. Calendar quarter plus next three.

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

All operating values are in USD million and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Writing-date snapshot: USD 118.39 per share (2026-10-09 16:00 EDT); 3,942.587 million common shares (2026-08-27 latest verified 10-K cover); estimated equity capitalization USD 466,762.9 million. Nasdaqcommonstock,actualcommonseparatefrom35Mpotentialdilutionandfuturecomp/buybacks. This dated common-share snapshot is separate from forecast diluted shares.

Growth or re-rating: 100% growth under the owner's sequential-percentage heuristic (0% re-rating / 100% growth). Uses the dated 2026-10-09 16:00 EDT regular close price, Q4 2026 ceiling and Q4 2027 ceiling at the artifact's own valuation basis. This compares two percentage moves with different denominators; it is not an additive return attribution or a measurement of actual P/E expansion. The classification changes with price and forecasts.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	24,213.7	20x	4,003.834	122.58

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Operating branches are weighted once. Where debt, preferred claims, conversion or equity floors make value nonlinear, the model values each coherent operating and funding state first, then weights those common-share outcomes.

Economic scope and matching claims

All consolidated operating segments. AI is separated inside Networking, with analytical systems/optics allocations. Ordinary R&D, SBC, acquisition amortization and restructuring remain expensed. Operating lease rent stays in earnings, so the operating lease liability is not deducted again. Finance receivables receive a 90% asset credit; their interest is outside valuation OP.. 20 x forward-four-quarter fully expensed operating profit, less end-window face debt net of cash and 90% of customer-finance receivables, divided by end-window diluted shares. Calendar quarter plus next three.

Financial claims and diluted shares follow the company-specific schedule below. Debt, preferred and minority claims are counted once. All financial model tables use USD million unless a different unit is stated.

Investment conclusion

Cisco has a credible growth engine in AI networking, with custom silicon and coherent optics converting into large customer orders and recognized revenue. The question for shareholders is how much of that growth is already reflected in the stock. This adopted model produces a Q4 2027 ceiling of **$122.58**, about **1.04x** the October 9 regular close of **$118.39**. It uses 20x forward-four-quarter operating profit after all recurring operating costs, including stock compensation and R&D, and deducts financial claims consistently. The analytical Base is **73/100**. This is a researched watchlist company, not an assertion that the portfolio owns it.

The website's exact sequential-percentage Upside Driver classifies the small positive active-horizon upside as **100% Growth** at the current price: the first displayed Q4 2026 target is $101.38, below today's price, while the Q4 2027 target is above it. This is a price-dependent heuristic, not a measurement of actual P/E expansion. The classification changes with price and targets. The business can grow strongly without providing large prospective stock upside under a fixed multiple.

The largest upside driver is recognition of additional AI systems and optics above the already large fiscal 2027 guide. The principal offsets are lower hardware gross margins, expensive memory, continuing engineering investment, and a share count that need not shrink even when the company spends billions on repurchases. The reference case alone values the active horizon at $118.13. Explicit incremental evidence branches add about $4.46 after funding effects. Those branches are not a second capitalization of management's existing forecast.

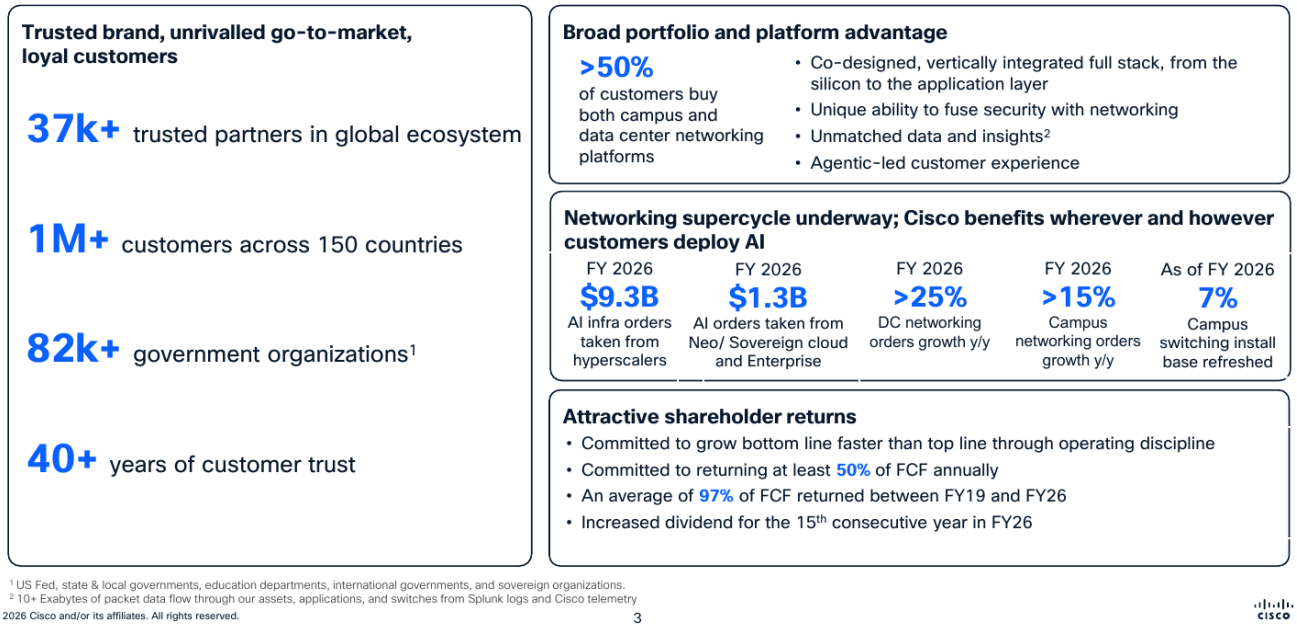
Business and competitive position

Cisco sells networking systems, software, security, collaboration, observability and support. It is not a pure optical-component supplier. Fiscal 2026 revenue was $63.325bn: networking $34.668bn, security $8.232bn, collaboration $4.300bn, observability $1.095bn and services $15.030bn. The AI hyperscaler business is a subset of networking, not an additional segment to add to those totals.

The business combines a large installed enterprise base with increasing control of the system's silicon and optical components. Customers buy the ability to move traffic predictably, maintain security and operate a network through upgrades and faults. A switch's advertised bandwidth matters, but packet loss, congestion, software support, operational tools and compatibility determine whether a system is useful in production. Cisco's channel, installed base and service organization make upgrades easier to sell; they also create substantial ongoing expenses.

Cisco's September presentation identifies over one million customers, more than 37,000 partners and customers across 150 countries. These are company-reported scale metrics. They do not establish exclusive supply or a monopoly. Arista, Nvidia, Broadcom-based merchant systems and hyperscalers' own designs compete in different parts of the network. Security and collaboration also compete against focused software vendors.

Cisco’s structural advantages



Cisco September 23,2026 investor presentation, page 3 | Issuer structural advantages. The 7% campus refresh figure measures installed base, not revenue.

Silicon One and qualified system economics

Silicon One extends from campus and service-provider access into data-center scale-out and scale-across. The P200 serves routing and connectivity across data centers; G200 and the 102.4Tbps G300 address high-bandwidth data-center workloads. Cisco aims to deploy Silicon One throughout its high-performance networking systems by fiscal 2029. That is a company roadmap, not evidence that every product already uses internal silicon.

In fiscal Q4, Cisco reported one additional P200 hyperscaler design win, one G200 scale-out win and an optical line-system win. A system qualification involves silicon performance, fabric behavior, software, optics, power and operational reliability. Once deployed, switching suppliers has engineering and operational costs. Those barriers support a multi-year opportunity, but design wins still require customer deployment and acceptance before revenue is earned.

The economic advantage of proprietary silicon includes direct planning of wafer, substrate, assembly and test supply, and potential avoidance of a merchant vendor's margin. It does not mean Cisco owns a fab or is insulated from foundry allocation. The model's reference gross margins improve gradually over time; it does not add a separate windfall for the same internal-silicon transition.

Cisco's G300 presentation reports 33% greater network utilization and 28% faster job completion under its illustrated comparisons. These are vendor performance claims with workload-dependent conditions, not assumed company revenue growth. No direct multiplier from bandwidth, traffic or job-completion performance enters the financial model.



Cisco September 23,2026 investor presentation, page 30 | Silicon One product families serve different network tiers.102.4 T is chip throughput, not sales.

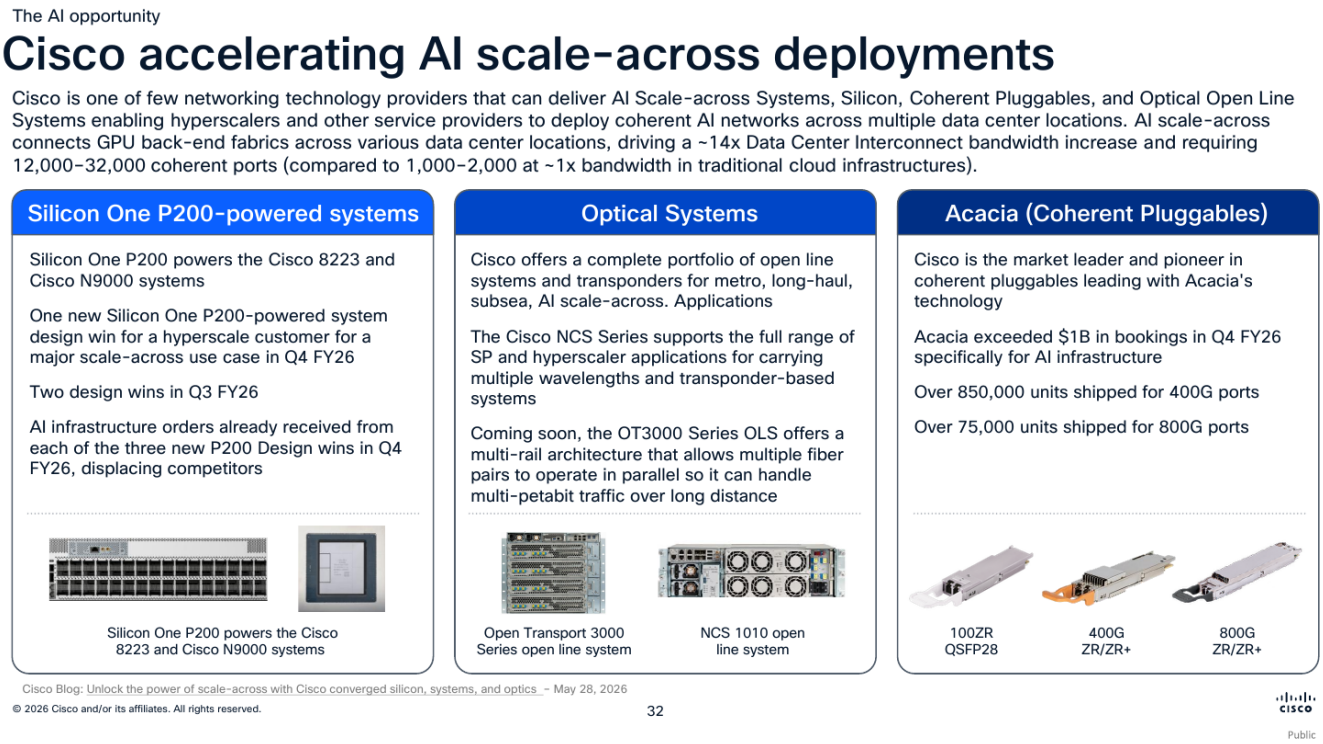
Acacia and scale-across optics

Acacia gives Cisco coherent pluggable optics alongside systems and open optical line infrastructure. Scale-across links GPU networks at separate data centers. It can increase the coherent-port content of a deployment, while also creating difficult latency, optical-budget, congestion and network-management problems.

The September issuer exhibit contrasts roughly 1,000-2,000 ports in an illustrative traditional interconnect with 12,000-32,000 ports in an AI scale-across architecture. It describes about 14x greater bandwidth. These are architecture examples, not a signed customer bill of materials or a forecast that all Cisco optical sales rise 14x. The same purchase can include Cisco silicon, a Cisco system and an Acacia optic; revenue must be counted at the invoiced product level.

Cisco reported more than $1bn of Acacia bookings in fiscal Q4 and cumulative shipments exceeding 850,000 400G ports and 75,000 800G ports. Those cumulative units are not quarterly shipments. The fiscal 2026 AI order mix was roughly 60% Silicon One systems and 40% optics. The model uses that split as an allocation proxy for recognized AI revenue, with an explicit disclosure that order mix and revenue mix can differ.

The optical opportunity is relevant to covered laser, module and transport suppliers, but Cisco's win is not proof of a specific component supplier's allocation. Coherent optics also differ from short-reach intensity-modulated pluggables. No revenue is assigned to LITE, COHR, AAOI or another company from this Cisco model alone.



Cisco September 23,2026 investor presentation, page 32 | Cumulative shipments exceed 850,000400 G and 75,000800 G units. Illustrated port counts are architectural requirements, not secured orders.

Campus refresh and security

Campus networking provides a broader source of growth than hyperscaler AI. Wi-Fi 7 can require faster access switching, and aging equipment can trigger reliability and cybersecurity upgrades. Cisco says only 7% of its campus switching installed base had been refreshed at the end of fiscal 2026. That is an installed-base metric, not a statement that 93% of sales are immediately available.

Fiscal Q4 campus orders grew 20%, wireless bookings more than 25%, and Wi-Fi 7 represented over half of wireless bookings. Industrial IoT orders had grown by double digits for nine quarters. Existing customers can purchase multiple product families, but the same campus upgrade may already include switches, access points, software and support. The model excludes hyperscaler AI from its refresh branch so those two revenue pools do not overlap.

Security's fiscal Q4 revenue increase was helped by the timing and duration of on-premises Splunk contracts. A move toward cloud subscriptions changes revenue recognition even if underlying customer adoption is sound. The reference assumes high-single-digit fiscal 2027 security and observability growth and low-single-digit services growth; it does not extrapolate a single quarter's on-premises license benefit indefinitely. Collaboration remains a comparatively mature business.

The $100bn-plus refresh opportunity cited by management is context. The financial model builds product revenues and costs; it does not assign Cisco a fixed percentage of that headline market. The relevant evidence is qualified product adoption, replacement pace, recognized bookings and retained margins.

Cisco campus networking refresh ramping (as of Q4 FY26)



Catalyst
9000 Family



C9350 & C9610
Smart Switches



Wi-Fi 7 Access Points



Industrial IoT portfolio

Campus, Wireless, and Edge Devices - Highlights

- **Campus networking had record orders in Q4 FY26,** up 20% y/y
- **Next-gen campus networking portfolio ramping faster** than prior product launches, driving accelerated order growth for campus networking solutions
  - Wireless delivered a record Q4, with bookings up >25% y/y, and Wi-Fi 7 representing >50% of Wireless bookings mix in Q4 FY26
  - Wi-Fi 7 brings bandwidth well above 1Gps driving the requirement for multi-gigabit ethernet (mGig). As customers upgrade to Wi-Fi 7, we are seeing increased attach to our mGig campus switches to enable the latest performance benefits
- **Industrial IoT portfolio had record orders in Q4 FY26**, and orders have now grown in double-digits for 9 consecutive quarters, driven by the manufacturing and utilities industries with ramping activity with data center powered shell (infrastructure) customers

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Cisco September 23,2026 investor presentation, page 18 | Campus orders, Wi-Fi 7 mix and higher-bandwidth switching attachment.

Orders, recognized revenue and current guidance

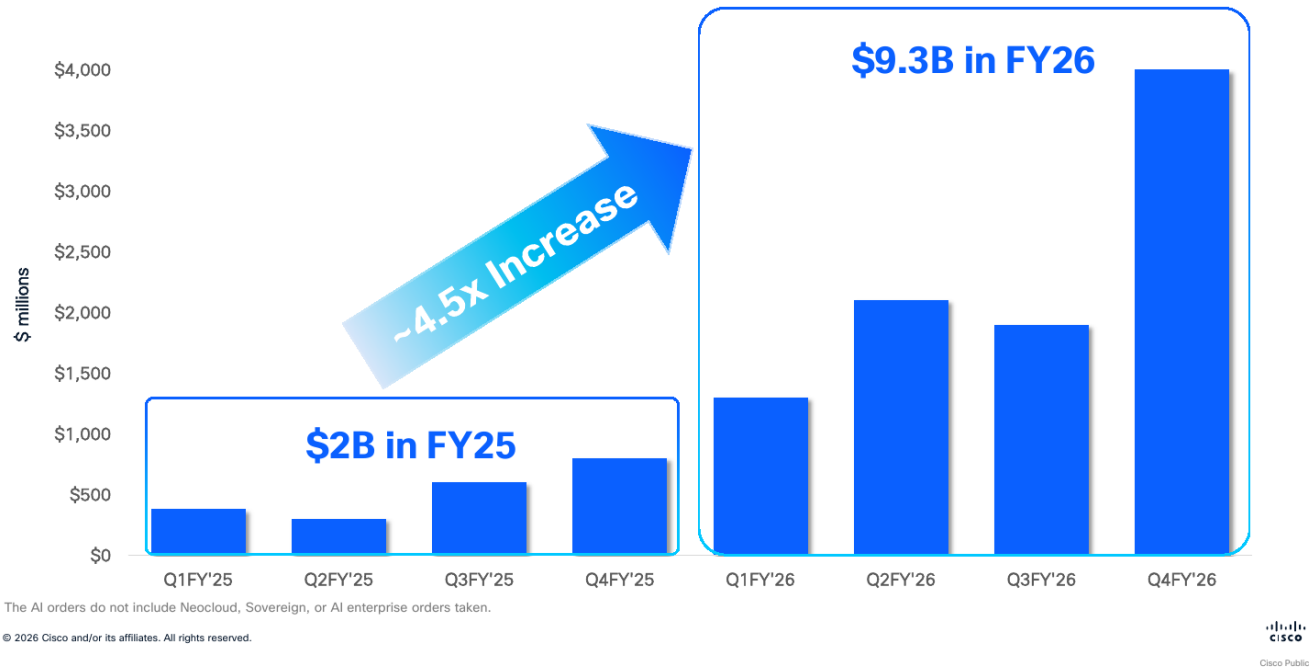
The latest complete results cover the fiscal year ended July 25, 2026. Fiscal Q4 revenue was $17.252bn and GAAP operating profit $4.264bn. Fiscal-year operating profit was $15.368bn, or 24.3% of sales. Fiscal 2026 AI hyperscaler orders totaled approximately $9.3bn, but recognized AI revenue was about $4bn. Bookings and sales differ materially in timing.

For fiscal 2027, management guides revenue of $72.2bn-$73.4bn and AI hyperscaler revenue of $7.5bn. Fiscal Q1 revenue guidance is $18bn-$18.2bn. The GAAP midpoint gross margin is 63.5%, and the GAAP midpoint operating margin is 28.5%. The model uses $72.8bn for the annual revenue reference and $18.1bn for fiscal Q1. The $7.5bn AI revenue guide is embedded before any probability branch.

The annual reference splits AI into $4.5bn systems and $3.0bn optics, networking excluding that AI into $35.146bn, security into $8.890bn, collaboration $4.600bn, observability $1.183bn and services $15.481bn. These are model allocations constrained to the company-wide guidance midpoint, not company segment guidance. Fiscal 2027 reference OP is $19.6bn after the modeled full costs. It is a model output, not an additional management operating-profit guide.

Both the May 13 and August 12 management records were reviewed. The earlier preliminary fiscal 2027 AI outlook of at least $6bn was superseded by $7.5bn. The current call also distinguishes hardware pricing from software, recognizes memory and hardware-mix pressure, and says large orders are placed nonlinearly. It reports no significant customer lead-time escalations. Those qualifications limit any inference of a scarcity-driven Cisco price windfall.

The earnings deck's order chart excludes neocloud, sovereign and enterprise AI orders. Those totaled $1.3bn in fiscal 2026 and are already part of the nonhyperscaler networking model, rather than added again to total sales. A management pipeline is an opportunity, not a receivable.



Cisco August 12,2026 earnings presentation, page 6 | FY2026 hyperscaler AI orders of$9.3 bn versus about$4 bn recognized revenue. The order chart excludes other AI customer groups.

Full operating costs and the model

The model contains 18 calendar operating quarters from Q3 2026 through Q4 2030 and 15 consecutive four-quarter ceilings. Cisco's fiscal quarters end around October, January, April and July. Calendarization therefore blends one third of the preceding fiscal quarter and two thirds of the next. Q3 2026 includes one month of the actual July-ending quarter and two months of the October-ending forecast. This uniform monthly accrual is a transparent approximation, not reported calendar-quarter guidance.

The reference expands fiscal AI revenue from $7.5bn in 2027 to $11bn, $14bn and $17bn in 2028-2030. Networking excluding that AI rises from $35.146bn to $38.3bn, $41bn and $43.05bn. Those are bounded model assumptions supported by the products and customer programs above. They assume the existing wins scale and growth moderates; they do not assume Cisco wins every architecture.

Product gross margins differ by business. Fiscal 2027 reference AI system/optic margins are 49%/54%, other networking 63.6%, security 77%, collaboration 70%, observability 80% and services 70%, with Q1 calibrated to the exact company-wide GAAP guide midpoint. These allocations include production cost, depreciation and stock compensation within gross profit. R&D, sales, administration, acquired-intangible amortization and restructuring are charged below gross profit.

Fiscal 2026 R&D was $9.563bn and stock compensation $3.830bn. The model expenses fiscal 2027 R&D of $10.6bn, increasing to $14bn by fiscal 2030. The known restructuring program is retained through a $550m fiscal 2027 charge, followed by a $350m annual ongoing reserve. Acquisition amortization remains expensed. Forecast cash flow adds back noncash depreciation and SBC only after operating valuation; it does not remove them from the profit used for the 20x target.

Management's non-GAAP 35% operating-margin discussion is not the valuation input. Its exclusions are economically meaningful, particularly stock compensation. Using the non-GAAP margin while retaining an unchanged common-share count would make the stock appear materially cheaper than this full-cost model.

FY 2026 GAAP Income Statement Highlights

$M (except per-share amounts and percentages)	FY 2025	FY 2026
Revenue	$56,654	$63,325
Year/Year Change	*5%*	*12%*
Product	$41,608	$48,295
Services	$15,046	$15,030
Gross Margin	64.9%	64.5%
Product Gross Margin	63.7%	63.2%
Services Gross Margin	68.5%	68.8%
Operating Expenses	$25,030	$25,492
OPEX (% of Revenue)	44.2%	40.3%
Operating Income (% of Revenue)	20.8%	24.3%
Net Income	$10,180	$13,267
Year/Year Change	*(1%)*	*30%*
Earnings per Share (diluted)	$2.55	$3.33
Year/Year Change	*0%*	*31%*

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Cisco August 12,2026 earnings presentation, page 22 | Annual GAAP income statement. Fully expensed OP is the valuation basis.

Probability-weighted evidence above the reference

The AI upside branch has 60% probability. Its fiscal 2027 conditional outcome is $8.3bn of recognized AI revenue versus the $7.5bn reference, with the incremental $800m bounded at $400m-$1.2bn. Conditional additions above reference are $2bn in fiscal 2028, $3bn in 2029 and $4bn in 2030. The reference already includes the three P200 wins, the announced AI guide and a large Acacia ramp. Only conversion above those values is incremental. A 53% incremental gross margin less 12% engineering, qualification and customer-support costs gives 41% incremental OP, or $196.8m weighted fiscal 2027 OP. It begins after fiscal Q1.

The incremental refresh branch has 45% probability. It adds conditional nonhyperscaler networking revenue of $1.2bn in fiscal 2027, bounded at $600m-$1.8bn, then $2bn/$2.5bn/$2.5bn in 2028-2030. It is above a reference that already assumes roughly 10% growth in the nonhyperscaler company-wide business in fiscal 2027. Incremental gross margin of 65% less 25% selling, engineering and support costs gives 40% OP, or $216m weighted fiscal 2027 OP. The branch does not separately add the same demand under Wi-Fi, security and campus labels.

The downside memory branch has 30% probability. It applies an additional 0.75% unrecovered cost to a 45% exposed networking revenue cohort, bounded at 0.25%-1.25%. Known cost increases and price recoveries are already in reference gross margins. This is an additional cost imbalance, with fixed engineering expense retained. Supply agreements and redesigns reduce its probability, while inventory commitments and variable-priced memory contracts keep it relevant.

Existing scale-across wins and price carryover have high, 85% confidence of contributing economically, but **zero separate increment** after these reference and branch allocations because they are the same invoices. The zero is due to overlap. The quantum-network prototype has no separate 2027 revenue allocation because this model cannot bridge a prototype to qualified near-term customer invoices after testing a bounded product-revenue proxy; it remains a longer-dated watch item.

Cash funding and dilution

The July 25 balance sheet has $15.918bn of cash and liquid investments. Financial debt is $29.533bn carrying value but **$29.663bn face principal**, which is the repayment obligation used here: $23.002bn fixed debt plus $6.661bn commercial paper. The $130m difference is unaccreted discount and issuance costs, not debt forgiveness. Cisco also has $8.332bn of customer financing receivables. Financing interest is excluded from valued operating profit, so the financial bridge credits those receivables once at 90% of net book, an additional collectability and liquidity haircut. New customer financing uses cash and increases that asset. The portfolio is assumed to revolve at its operating scale; growth is funded explicitly, rather than treating installment sales as immediate cash.

Operating leases are already fully expensed: the annual filing reports $965m of total lease expense and $1.652bn of operating lease liabilities. Because this valuation retains lease rent in operating costs, those liabilities are not subtracted again. Nonmarketable investments and associated venture-fund minority interests are excluded together; unrealized investment gains do not enter recurring OP. No separate value is assigned to goodwill.

The funding schedule covers every modeled quarter. It includes depreciation and SBC cash addbacks, interest on debt, income on cash and customer financing, taxes, incremental working capital, additional finance receivables, capex, dividends, buybacks, employee withholding, small acquisitions and strategic investment cash. The first period includes only August-September cash flows because July cash is already in the audited opening balance. A $16bn cash-and-liquid-investment floor is maintained. Surplus cash repays only commercial paper and new short-term drawings; it can accumulate above that floor once those balances are retired. Fixed debt remains until maturity because early redemption can require make-whole premiums. Scheduled principal payments are $1.5bn in September 2026, $2bn in February 2027, $1bn in February 2028, $2.5bn in February 2029 and $1bn in February 2030, with another $2m fiscal 2027 payment. Interest remains a bounded 5% annual cash-cost assumption. Capex rises from roughly $1.8bn-$1.9bn annually in the near term to $2.5bn in 2030. No unannounced major acquisition is assumed.

The latest verified quoted common count is **3,942.586873m shares**, from the August 27 filing cover, giving a market capitalization of approximately **$466.76bn** at $118.39. Forecast valuation shares start with that common count plus 35m potential dilution, the latest reported quarterly diluted/basic difference. The model then tracks 85m annual gross issuance, 23m withheld shares and $6.1bn annual buybacks at an assumed repurchase price beginning at $118.39 and rising 4% annually. These are explicit forecast assumptions, not a promised authorization or future market-price target. The first share increment covers September only because the quoted share count is already late August.

Fiscal 2026's $6.106bn repurchases retired about 76m gross shares, but 85m were issued and another 23m withheld. At a higher future repurchase price, the same dollars retire fewer shares. The model therefore does not infer a large automatic EPS lift from gross buyback dollars. It preserves both compensation expense and the forecast dilution it can create.

Rebuilt funding and share-count stresses put the same Q4 2027 ceiling at **$117.21** with neither favorable branch and the full conditional memory-cost shock, **$122.63** if repurchases stop when the existing $8.1bn authorization is exhausted, and **$122.66** if no further buybacks occur after September 2026. Combining the unfavorable operating case with the authorization limit gives **$117.30**. The nearly neutral buyback result is economically plausible:

retaining cash offsets the larger share denominator when repurchases occur near modeled value. These are complete cash/share recalculations; they do not assume the shares disappear without cash expenditure. The active case assumes future authorization renewal and should not be read as a board commitment.

Q4 FY 2026 Capital Allocation

Total Capital Allocation	Q4 FY 2026	FY 2026
Share Repurchases ($M)	$1,502	$6,106
Dividends Paid ($M)	1,659	6,553
Total ($M)	$3,161	$12,659
Dividend per Share	$0.42	$1.66

Share Repurchases	Q4 FY 2026	FY 2026
Amount Purchased ($M)	$1,502	$6,106
Number of Shares (M)	13	76
Avg. Price per Share	$111.53	$80.26

Approximately $8.1B remaining authorized funds in repurchase program as of the end of Q4 FY 2026.

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Cisco August 12,2026 earnings presentation, page 21 | Gross repurchases are not net share retirement; cash, issuance and withholding must all reconcile.

Valuation discipline, counter-evidence and catalysts

The 20x multiple applies to the sum of the selected calendar quarter and the next three quarters. End-of-window financial claims and diluted shares are used consistently. It is not a P/E multiple applied to net earnings, and tax is used for cash funding rather than silently deducted twice from valued OP. Source dollar values and calculated shares remain exact; displayed rounding is presentation only.

The outcome is sensitive to full operating costs, hardware mix and AI acceptance. A faster system/optic ramp would improve OP, but an aggressive non-GAAP margin substitution is a methodology change, not better evidence. A slower enterprise refresh, persistent memory inflation, insufficient software growth or a large acquisition can offset AI sales growth. Customer concentration and the cost of securing inventory also matter. The filing shows $17.165bn of inventory purchase commitments, of which $14.341bn is within one year, plus $5.694bn of inventory. These figures are neither customer orders nor incremental revenue.

The next scheduled earnings catalyst is November 12, 2026. The highest-value checks are recognized AI revenue versus the rising fiscal-year path, new qualified wins rather than repeated announcements, campus replacement pace, gross-margin pressure and operating-cost discipline. Customer funding, inventory deposits, share issuance and cash returns should be reconciled alongside revenue.

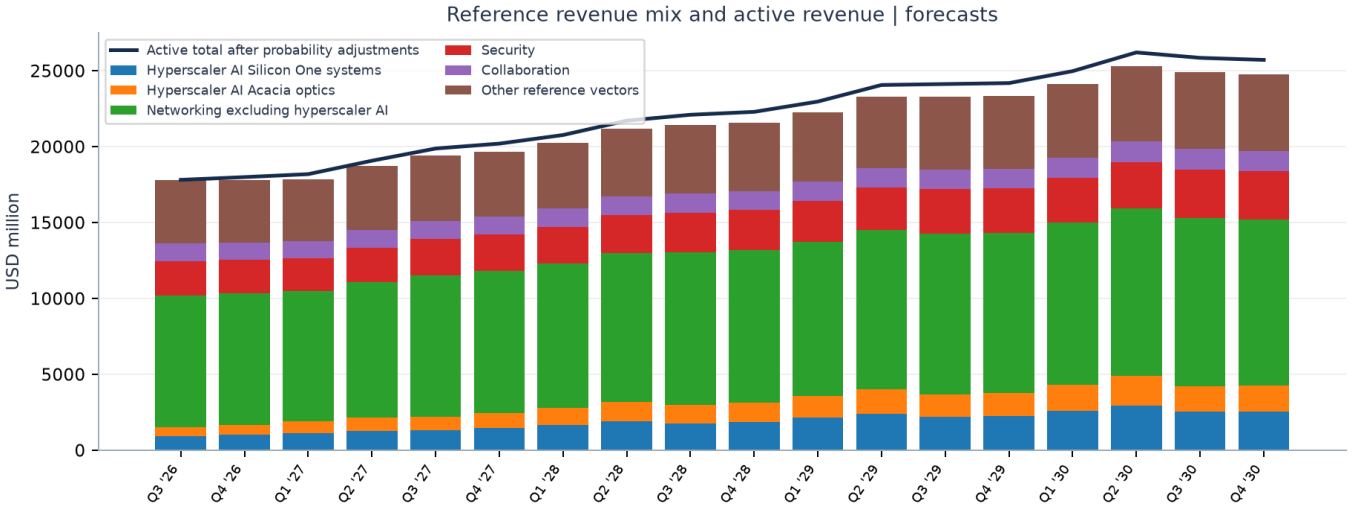
A strong business thesis and a modest target upside can coexist. Here the current price already discounts substantial progress. The model keeps the growth case visible while making the required earnings conversion, costs and dilution inspectable.

The interactive probability controls hold the active financing path fixed. The independently rebuilt reference-funding case is $118.125237 per share; the combined no-positive-branch, full memory-cost and limited-buyback case is $117.304776. These are conditional sensitivities, not revised targets.

Score arithmetic

Category	Points	Evidence / treatment
Core thesis	17	Custom silicon, coherent optics and the enterprise platform capture AI traffic with broad customer access.
Cycle	8	AI revenue accelerates; order carryover and pricing comparisons make timing uncertain.
TAM	8	Scale-across networking and campus refresh add content; mature segments dilute the pure AI exposure.
Catalysts	4	November results, FY2027 AI recognition, new Silicon One wins and campus refresh.
Macro	8	AI capex supports demand while enterprise budgets and memory costs constrain margins.
Alpha	3	Separate orders from revenue and retain full SBC and R&D. The market already recognizes growth.
Risk classes	-4	Competition, customer concentration, inventory commitments, compensation and acquisition execution.
Total	44/60	Rounded Base 73. Both artifact and new workbook row use this score; this is not a manual override.

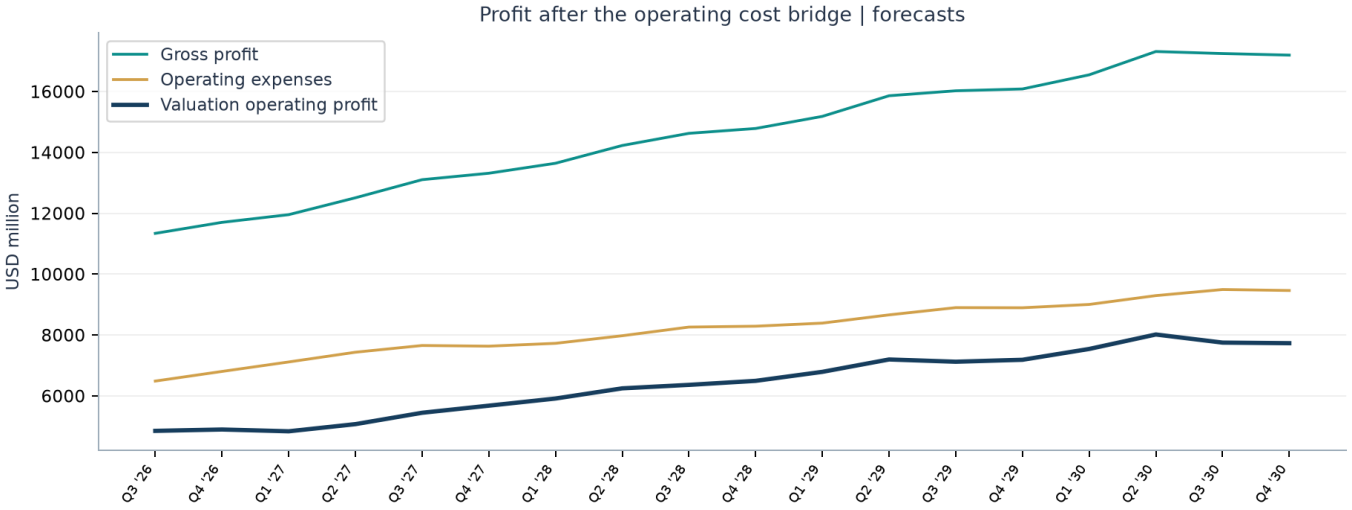
Revenue and business mix



Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	17,817.3	0.0	17,817.3
Q4 2026	17,778.4	219.0	17,997.4
Q1 2027	17,860.3	333.0	18,193.3
Q2 2027	18,727.7	349.2	19,077.0
Q3 2027	19,416.3	464.5	19,880.8
Q4 2027	19,690.0	514.5	20,204.5
Q1 2028	20,249.3	520.8	20,770.1
Q2 2028	21,178.7	537.6	21,716.3
Q3 2028	21,442.0	663.0	22,105.0
Q4 2028	21,580.1	716.6	22,296.7
Q1 2029	22,249.4	725.4	22,974.8
Q2 2029	23,318.6	748.8	24,067.4
Q3 2029	23,296.5	833.0	24,129.5
Q4 2029	23,328.1	863.6	24,191.7
Q1 2030	24,105.6	874.2	24,979.8
Q2 2030	25,310.0	902.4	26,212.4
Q3 2030	24,908.3	946.5	25,854.8
Q4 2030	24,764.5	955.5	25,720.0

Gross profit, operating expenses and earnings



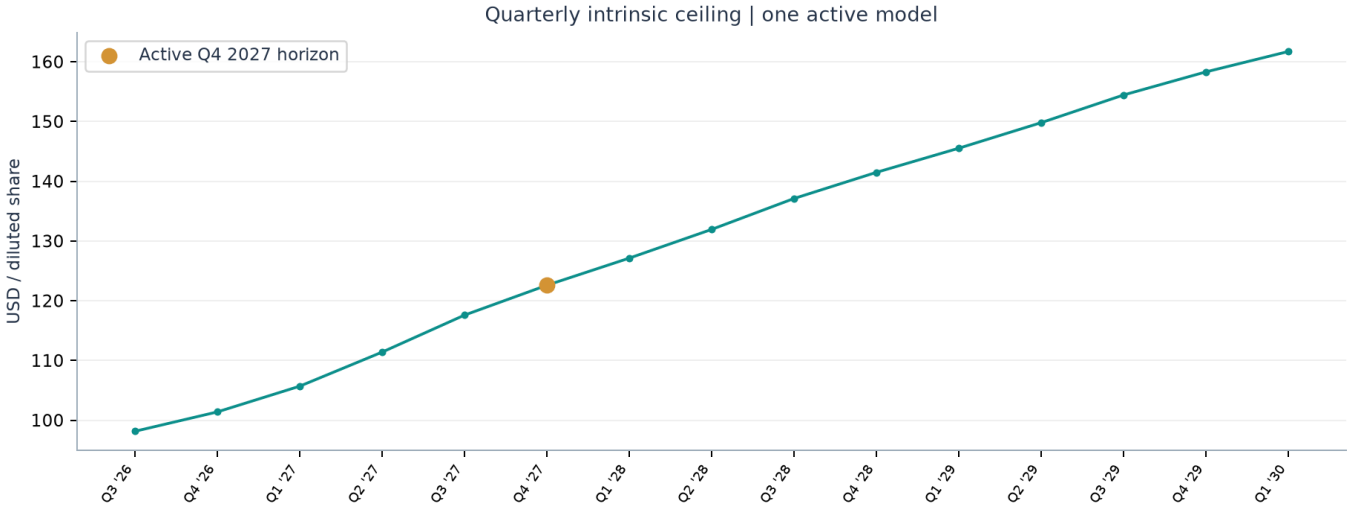
Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

Quarter / status	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026 / Calendar accrual model; July actual included	17,817.3	11,343.0	6,489.7	4,853.3	27.2%
Q4 2026 / Model assumption; calendarized fiscal guide where applicable	17,997.4	11,704.8	6,806.3	4,898.5	27.2%
Q1 2027 / Model assumption; calendarized fiscal guide where applicable	18,193.3	11,957.4	7,117.9	4,839.5	26.6%
Q2 2027 / Model assumption; calendarized fiscal guide where applicable	19,077.0	12,511.9	7,437.4	5,074.5	26.6%
Q3 2027 / Model assumption; calendarized fiscal guide where applicable	19,880.8	13,106.7	7,658.5	5,448.2	27.4%
Q4 2027 / Model assumption; calendarized fiscal guide where applicable	20,204.5	13,318.1	7,636.4	5,681.7	28.1%

Quarter / status	Revenue	GP	Opex	Valuation OP	OP margin
Q1 2028 / Model assumption; calendarized fiscal guide where applicable	20,770.1	13,646.3	7,729.9	5,916.4	28.5%
Q2 2028 / Model assumption; calendarized fiscal guide where applicable	21,716.3	14,229.9	7,979.3	6,250.6	28.8%
Q3 2028 / Model assumption; calendarized fiscal guide where applicable	22,105.0	14,629.4	8,264.4	6,364.9	28.8%
Q4 2028 / Model assumption; calendarized fiscal guide where applicable	22,296.7	14,789.4	8,292.6	6,496.8	29.1%
Q1 2029 / Model assumption; calendarized fiscal guide where applicable	22,974.8	15,186.8	8,394.1	6,792.7	29.6%
Q2 2029 / Model assumption; calendarized fiscal guide where applicable	24,067.4	15,864.4	8,664.9	7,199.5	29.9%
Q3 2029 / Model assumption; calendarized fiscal guide where applicable	24,129.5	16,028.0	8,902.7	7,125.3	29.5%
Q4 2029 / Model assumption; calendarized fiscal guide where applicable	24,191.7	16,087.2	8,898.2	7,189.0	29.7%
Q1 2030 / Model assumption; calendarized fiscal guide where applicable	24,979.8	16,551.8	9,007.2	7,544.6	30.2%
Q2 2030 / Model assumption; calendarized fiscal guide where applicable	26,212.4	17,317.9	9,297.7	8,020.2	30.6%

Quarter / status	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2030 / Model assumption; calendarized fiscal guide where applicable	25,854.8	17,251.0	9,497.5	7,753.6	30.0%
Q4 2030 / Model assumption; calendarized fiscal guide where applicable	25,720.0	17,199.8	9,465.6	7,734.2	30.1%

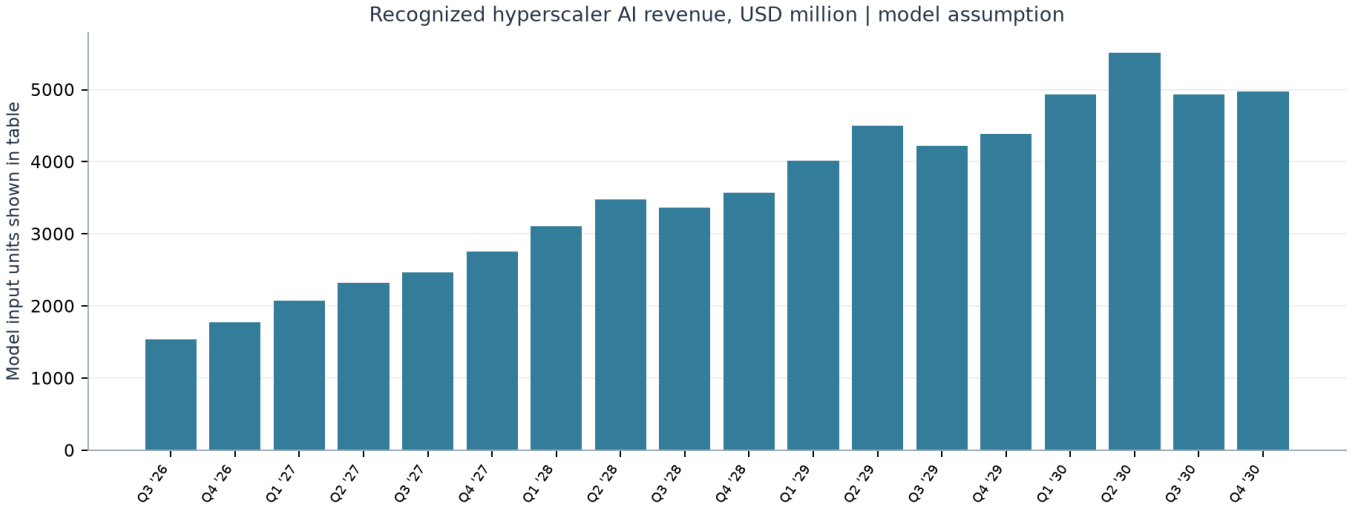
The complete ceiling path



Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

Quarter	Four-quarter earnings window	F4Q OP	Multiple	Shares	Ceiling
Q3 2026	Q3 2026 to Q2 2027	19,665.8	20x	3,987.066	98.14
Q4 2026	Q4 2026 to Q3 2027	20,260.6	20x	3,990.180	101.38
Q1 2027	Q1 2027 to Q4 2027	21,043.8	20x	3,993.415	105.69
Q2 2027	Q2 2027 to Q1 2028	22,120.7	20x	3,996.770	111.39
Q3 2027	Q3 2027 to Q2 2028	23,296.9	20x	4,000.243	117.58
Q4 2027	Q4 2027 to Q3 2028	24,213.7	20x	4,003.834	122.58
Q1 2028	Q1 2028 to Q4 2028	25,028.8	20x	4,007.541	127.12
Q2 2028	Q2 2028 to Q1 2029	25,905.0	20x	4,011.362	131.93
Q3 2028	Q3 2028 to Q2 2029	26,853.9	20x	4,015.298	137.10
Q4 2028	Q4 2028 to Q3 2029	27,614.3	20x	4,019.347	141.48
Q1 2029	Q1 2029 to Q4 2029	28,306.5	20x	4,023.507	145.52
Q2 2029	Q2 2029 to Q1 2030	29,058.4	20x	4,027.779	149.80
Q3 2029	Q3 2029 to Q2 2030	29,879.1	20x	4,032.159	154.43
Q4 2029	Q4 2029 to Q3 2030	30,507.3	20x	4,036.648	158.30
Q1 2030	Q1 2030 to Q4 2030	31,052.5	20x	4,041.245	161.71

The operating constraint behind the forecast



The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

Quarter	Recognized hyperscaler AI revenue, USD million	Status
Q3 2026	1,533.333	Calendar accrual model; July actual included
Q4 2026	1,778.065	Model assumption; calendarized fiscal guide where applicable
Q1 2027	2,069.226	Model assumption; calendarized fiscal guide where applicable
Q2 2027	2,326.838	Model assumption; calendarized fiscal guide where applicable
Q3 2027	2,470.137	Model assumption; calendarized fiscal guide where applicable
Q4 2027	2,750.667	Model assumption; calendarized fiscal guide where applicable
Q1 2028	3,102.600	Model assumption; calendarized fiscal guide where applicable
Q2 2028	3,478.867	Model assumption; calendarized fiscal guide where applicable
Q3 2028	3,366.667	Model assumption; calendarized fiscal guide where applicable
Q4 2028	3,567.667	Model assumption; calendarized fiscal guide where applicable
Q1 2029	4,016.400	Model assumption; calendarized fiscal guide where applicable
Q2 2029	4,497.467	Model assumption; calendarized fiscal guide where applicable

Quarter	Recognized hyperscaler AI revenue, USD million	Status
Q3 2029	4,217.267	Model assumption; calendarized fiscal guide where applicable
Q4 2029	4,384.667	Model assumption; calendarized fiscal guide where applicable
Q1 2030	4,930.200	Model assumption; calendarized fiscal guide where applicable
Q2 2030	5,516.067	Model assumption; calendarized fiscal guide where applicable
Q3 2030	4,934.533	Model assumption; calendarized fiscal guide where applicable
Q4 2030	4,978.333	Model assumption; calendarized fiscal guide where applicable

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin, except explicitly labeled zero-sales cost credits. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	Hyperscaler AI Silicon One systems	920.0	47.0%	432.1
Q3 2026	Hyperscaler AI Acacia optics	613.3	51.8%	317.5
Q3 2026	Networking excluding hyperscaler AI	8,686.7	61.4%	5,331.7
Q3 2026	Security	2,248.6	73.8%	1,659.5
Q3 2026	Collaboration	1,168.6	67.1%	784.0
Q3 2026	Observability	292.2	76.7%	224.0
Q3 2026	Services	3,888.0	66.9%	2,601.2
Q4 2026	Hyperscaler AI Silicon One systems	1,005.0	48.4%	486.2
Q4 2026	Hyperscaler AI Acacia optics	670.0	53.3%	357.2
Q4 2026	Networking excluding hyperscaler AI	8,667.2	62.7%	5,432.2
Q4 2026	Security	2,192.3	75.9%	1,663.5
Q4 2026	Collaboration	1,134.4	69.0%	782.5
Q4 2026	Observability	291.7	78.8%	230.0
Q4 2026	Services	3,817.7	69.0%	2,633.5
Q1 2027	Hyperscaler AI Silicon One systems	1,147.5	49.0%	562.3
Q1 2027	Hyperscaler AI Acacia optics	765.0	54.0%	413.1
Q1 2027	Networking excluding hyperscaler AI	8,583.5	63.6%	5,459.1
Q1 2027	Security	2,171.1	77.0%	1,671.8
Q1 2027	Collaboration	1,123.4	70.0%	786.4
Q1 2027	Observability	288.9	80.0%	231.1
Q1 2027	Services	3,780.8	70.0%	2,646.6
Q2 2027	Hyperscaler AI Silicon One systems	1,297.5	49.0%	635.8
Q2 2027	Hyperscaler AI Acacia optics	865.0	54.0%	467.1
Q2 2027	Networking excluding hyperscaler AI	8,915.8	63.6%	5,670.4
Q2 2027	Security	2,255.2	77.0%	1,736.5
Q2 2027	Collaboration	1,166.9	70.0%	816.8
Q2 2027	Observability	300.1	80.0%	240.1
Q2 2027	Services	3,927.2	70.0%	2,749.0

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2027	Hyperscaler AI Silicon One systems	1,330.0	49.7%	660.5
Q3 2027	Hyperscaler AI Acacia optics	886.7	54.7%	484.7
Q3 2027	Networking excluding hyperscaler AI	9,329.9	63.9%	5,959.0
Q3 2027	Security	2,375.1	77.7%	1,845.0
Q3 2027	Collaboration	1,191.0	70.3%	837.7
Q3 2027	Observability	320.8	80.7%	258.8
Q3 2027	Services	3,982.8	70.3%	2,801.2
Q4 2027	Hyperscaler AI Silicon One systems	1,474.0	50.0%	737.0
Q4 2027	Hyperscaler AI Acacia optics	982.7	55.0%	540.5
Q4 2027	Networking excluding hyperscaler AI	9,383.5	64.0%	6,005.4
Q4 2027	Security	2,396.1	78.0%	1,869.0
Q4 2027	Collaboration	1,183.3	70.5%	834.3
Q4 2027	Observability	325.9	81.0%	263.9
Q4 2027	Services	3,944.5	70.5%	2,780.9
Q1 2028	Hyperscaler AI Silicon One systems	1,683.0	50.0%	841.5
Q1 2028	Hyperscaler AI Acacia optics	1,122.0	55.0%	617.1
Q1 2028	Networking excluding hyperscaler AI	9,498.4	64.0%	6,079.0
Q1 2028	Security	2,425.4	78.0%	1,891.8
Q1 2028	Collaboration	1,197.8	70.5%	844.5
Q1 2028	Observability	329.8	81.0%	267.2
Q1 2028	Services	3,992.8	70.5%	2,814.9
Q2 2028	Hyperscaler AI Silicon One systems	1,903.0	50.0%	951.5
Q2 2028	Hyperscaler AI Acacia optics	1,268.7	55.0%	697.8
Q2 2028	Networking excluding hyperscaler AI	9,804.8	64.0%	6,275.1
Q2 2028	Security	2,503.7	78.0%	1,952.9
Q2 2028	Collaboration	1,236.5	70.5%	871.7
Q2 2028	Observability	340.5	81.0%	275.8
Q2 2028	Services	4,121.6	70.5%	2,905.7
Q3 2028	Hyperscaler AI Silicon One systems	1,780.0	50.9%	906.8
Q3 2028	Hyperscaler AI Acacia optics	1,186.7	55.9%	663.9
Q3 2028	Networking excluding hyperscaler AI	10,057.9	64.5%	6,491.1

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2028	Security	2,631.0	78.3%	2,061.1
Q3 2028	Collaboration	1,251.8	70.8%	886.7
Q3 2028	Observability	361.8	81.3%	294.3
Q3 2028	Services	4,172.8	70.8%	2,955.8
Q4 2028	Hyperscaler AI Silicon One systems	1,876.0	51.5%	966.1
Q4 2028	Hyperscaler AI Acacia optics	1,250.7	56.5%	706.6
Q4 2028	Networking excluding hyperscaler AI	10,045.0	64.8%	6,509.2
Q4 2028	Security	2,658.2	78.5%	2,086.7
Q4 2028	Collaboration	1,242.1	71.0%	881.9
Q4 2028	Observability	367.5	81.5%	299.5
Q4 2028	Services	4,140.5	71.0%	2,939.8
Q1 2029	Hyperscaler AI Silicon One systems	2,142.0	51.5%	1,103.1
Q1 2029	Hyperscaler AI Acacia optics	1,428.0	56.5%	806.8
Q1 2029	Networking excluding hyperscaler AI	10,168.0	64.8%	6,588.9
Q1 2029	Security	2,690.8	78.5%	2,112.3
Q1 2029	Collaboration	1,257.4	71.0%	892.7
Q1 2029	Observability	372.0	81.5%	303.2
Q1 2029	Services	4,191.2	71.0%	2,975.8
Q2 2029	Hyperscaler AI Silicon One systems	2,422.0	51.5%	1,247.3
Q2 2029	Hyperscaler AI Acacia optics	1,614.7	56.5%	912.3
Q2 2029	Networking excluding hyperscaler AI	10,496.0	64.8%	6,801.4
Q2 2029	Security	2,777.6	78.5%	2,180.4
Q2 2029	Collaboration	1,297.9	71.0%	921.5
Q2 2029	Observability	384.0	81.5%	313.0
Q2 2029	Services	4,326.4	71.0%	3,071.7
Q3 2029	Hyperscaler AI Silicon One systems	2,200.0	52.1%	1,146.6
Q3 2029	Hyperscaler AI Acacia optics	1,466.7	57.1%	837.7
Q3 2029	Networking excluding hyperscaler AI	10,628.6	64.9%	6,901.5
Q3 2029	Security	2,896.2	78.8%	2,283.4
Q3 2029	Collaboration	1,313.7	71.3%	937.1
Q3 2029	Observability	409.4	81.8%	335.1

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2029	Services	4,381.9	71.3%	3,125.7
Q4 2029	Hyperscaler AI Silicon One systems	2,278.0	52.5%	1,195.9
Q4 2029	Hyperscaler AI Acacia optics	1,518.7	57.5%	873.2
Q4 2029	Networking excluding hyperscaler AI	10,547.2	65.0%	6,855.7
Q4 2029	Security	2,915.5	79.0%	2,303.2
Q4 2029	Collaboration	1,303.4	71.5%	931.9
Q4 2029	Observability	416.5	82.0%	341.5
Q4 2029	Services	4,348.8	71.5%	3,109.4
Q1 2030	Hyperscaler AI Silicon One systems	2,601.0	52.5%	1,365.5
Q1 2030	Hyperscaler AI Acacia optics	1,734.0	57.5%	997.0
Q1 2030	Networking excluding hyperscaler AI	10,676.4	65.0%	6,939.7
Q1 2030	Security	2,951.2	79.0%	2,331.4
Q1 2030	Collaboration	1,319.4	71.5%	943.3
Q1 2030	Observability	421.6	82.0%	345.7
Q1 2030	Services	4,402.0	71.5%	3,147.4
Q2 2030	Hyperscaler AI Silicon One systems	2,941.0	52.5%	1,544.0
Q2 2030	Hyperscaler AI Acacia optics	1,960.7	57.5%	1,127.4
Q2 2030	Networking excluding hyperscaler AI	11,020.8	65.0%	7,163.5
Q2 2030	Security	3,046.4	79.0%	2,406.7
Q2 2030	Collaboration	1,361.9	71.5%	973.8
Q2 2030	Observability	435.2	82.0%	356.9
Q2 2030	Services	4,544.0	71.5%	3,249.0
Q3 2030	Hyperscaler AI Silicon One systems	2,540.0	52.8%	1,341.1
Q3 2030	Hyperscaler AI Acacia optics	1,693.3	57.8%	978.7
Q3 2030	Networking excluding hyperscaler AI	11,088.8	65.3%	7,244.6
Q3 2030	Security	3,151.6	79.3%	2,500.4
Q3 2030	Collaboration	1,371.5	71.8%	985.2
Q3 2030	Observability	461.3	82.3%	379.8
Q3 2030	Services	4,601.8	71.8%	3,305.6
Q4 2030	Hyperscaler AI Silicon One systems	2,546.0	53.0%	1,349.4
Q4 2030	Hyperscaler AI Acacia optics	1,697.3	58.0%	984.5

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q4 2030	Networking excluding hyperscaler AI	10,968.6	65.5%	7,184.5
Q4 2030	Security	3,160.5	79.5%	2,512.6
Q4 2030	Collaboration	1,357.3	72.0%	977.3
Q4 2030	Observability	467.9	82.5%	386.1
Q4 2030	Services	4,566.8	72.0%	3,288.1

Operating-cost derivation

Quarter	R&D fully expensed including SBC	Sales marketing general administration including SBC	Acquired intangible amortization in opex	Restructuring and other charges
Q3 2026	2,567.3	3,452.9	207.9	261.5
Q4 2026	2,588.6	3,846.6	195.4	134.3
Q1 2027	2,600.5	4,123.3	196.3	134.9
Q2 2027	2,726.8	4,297.3	205.8	141.5
Q3 2027	2,853.7	4,439.0	177.0	105.7
Q4 2027	2,866.5	4,434.5	159.2	85.8
Q1 2028	2,901.6	4,488.8	161.2	86.8
Q2 2028	2,995.2	4,633.6	166.4	89.6
Q3 2028	3,134.3	4,790.1	138.4	87.8
Q4 2028	3,160.5	4,802.0	122.5	85.8
Q1 2029	3,199.2	4,860.8	124.0	86.8
Q2 2029	3,302.4	5,017.6	128.0	89.6
Q3 2029	3,419.0	5,150.1	109.0	87.8
Q4 2029	3,430.0	5,145.0	98.0	85.8
Q1 2030	3,472.0	5,208.0	99.2	86.8
Q2 2030	3,584.0	5,376.0	102.4	89.6
Q3 2030	3,678.7	5,485.1	100.4	87.8
Q4 2030	3,675.0	5,463.5	98.0	85.8

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2026	AI BEYOND GUIDE	60%	0.0	0.0	0.0	0.0
Q3 2026	INCREMENTAL REFRESH	45%	0.0	0.0	0.0	0.0
Q3 2026	MEMORY UNRECOVERED COST	30%	0.0	-23.5	0.0	-7.0
Q4 2026	AI BEYOND GUIDE	60%	171.8	91.0	20.6	42.3
Q4 2026	INCREMENTAL REFRESH	45%	257.7	167.5	64.4	46.4
Q4 2026	MEMORY UNRECOVERED COST	30%	0.0	-34.9	0.0	-10.5
Q1 2027	AI BEYOND GUIDE	60%	261.2	138.4	31.3	64.3
Q1 2027	INCREMENTAL REFRESH	45%	391.8	254.7	98.0	70.5
Q1 2027	MEMORY UNRECOVERED COST	30%	0.0	-35.4	0.0	-10.6
Q2 2027	AI BEYOND GUIDE	60%	273.9	145.2	32.9	67.4
Q2 2027	INCREMENTAL REFRESH	45%	410.8	267.0	102.7	74.0
Q2 2027	MEMORY UNRECOVERED COST	30%	0.0	-37.4	0.0	-11.2
Q3 2027	AI BEYOND GUIDE	60%	422.5	223.9	50.7	103.9
Q3 2027	INCREMENTAL REFRESH	45%	469.0	304.9	117.3	84.4
Q3 2027	MEMORY UNRECOVERED COST	30%	0.0	-39.0	0.0	-11.7
Q4 2027	AI BEYOND GUIDE	60%	490.0	259.7	58.8	120.5
Q4 2027	INCREMENTAL REFRESH	45%	490.0	318.5	122.5	88.2
Q4 2027	MEMORY UNRECOVERED COST	30%	0.0	-40.0	0.0	-12.0
Q1 2028	AI BEYOND GUIDE	60%	496.0	262.9	59.5	122.0
Q1 2028	INCREMENTAL REFRESH	45%	496.0	322.4	124.0	89.3
Q1 2028	MEMORY UNRECOVERED COST	30%	0.0	-41.5	0.0	-12.5

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q2 2028	AI BEYOND GUIDE	60%	512.0	271.4	61.4	126.0
Q2 2028	INCREMENTAL REFRESH	45%	512.0	332.8	128.0	92.2
Q2 2028	MEMORY UNRECOVERED COST	30%	0.0	-43.8	0.0	-13.1
Q3 2028	AI BEYOND GUIDE	60%	666.7	353.3	80.0	164.0
Q3 2028	INCREMENTAL REFRESH	45%	584.3	379.8	146.1	105.2
Q3 2028	MEMORY UNRECOVERED COST	30%	0.0	-44.0	0.0	-13.2
Q4 2028	AI BEYOND GUIDE	60%	735.0	389.6	88.2	180.8
Q4 2028	INCREMENTAL REFRESH	45%	612.5	398.1	153.1	110.2
Q4 2028	MEMORY UNRECOVERED COST	30%	0.0	-44.5	0.0	-13.3
Q1 2029	AI BEYOND GUIDE	60%	744.0	394.3	89.3	183.0
Q1 2029	INCREMENTAL REFRESH	45%	620.0	403.0	155.0	111.6
Q1 2029	MEMORY UNRECOVERED COST	30%	0.0	-46.4	0.0	-13.9
Q2 2029	AI BEYOND GUIDE	60%	768.0	407.0	92.2	188.9
Q2 2029	INCREMENTAL REFRESH	45%	640.0	416.0	160.0	115.2
Q2 2029	MEMORY UNRECOVERED COST	30%	0.0	-49.0	0.0	-14.7
Q3 2029	AI BEYOND GUIDE	60%	917.7	486.4	110.1	225.7
Q3 2029	INCREMENTAL REFRESH	45%	627.5	407.9	156.9	113.0
Q3 2029	MEMORY UNRECOVERED COST	30%	0.0	-48.2	0.0	-14.5
Q4 2029	AI BEYOND GUIDE	60%	980.0	519.4	117.6	241.1
Q4 2029	INCREMENTAL REFRESH	45%	612.5	398.1	153.1	110.2
Q4 2029	MEMORY UNRECOVERED COST	30%	0.0	-48.4	0.0	-14.5
Q1 2030	AI BEYOND GUIDE	60%	992.0	525.8	119.0	244.0
Q1 2030	INCREMENTAL REFRESH	45%	620.0	403.0	155.0	111.6

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q1 2030	MEMORY UNRECOVERED COST	30%	0.0	-50.7	0.0	-15.2
Q2 2030	AI BEYOND GUIDE	60%	1,024.0	542.7	122.9	251.9
Q2 2030	INCREMENTAL REFRESH	45%	640.0	416.0	160.0	115.2
Q2 2030	MEMORY UNRECOVERED COST	30%	0.0	-53.7	0.0	-16.1
Q3 2030	AI BEYOND GUIDE	60%	1,168.7	619.4	140.2	287.5
Q3 2030	INCREMENTAL REFRESH	45%	545.2	354.4	136.3	98.1
Q3 2030	MEMORY UNRECOVERED COST	30%	0.0	-51.7	0.0	-15.5
Q4 2030	AI BEYOND GUIDE	60%	1,225.0	649.2	147.0	301.3
Q4 2030	INCREMENTAL REFRESH	45%	490.0	318.5	122.5	88.2
Q4 2030	MEMORY UNRECOVERED COST	30%	0.0	-51.3	0.0	-15.4

Adopted funding and financial claims

This saved funding scenario includes cash taxes, interest, capital investment, working capital, distributions and any separately specified closure cash. New borrowing is a modeled requirement, not confirmed lending. Probability controls hold this schedule fixed; an adopted operating revision must rebuild funding. Face debt starts at$29.663 bn: fixed principal$23.002 bn plus commercial paper$6.661 bn. Only commercial paper and new drawings are swept; fixed notes mature on their contractual dates. Cash can exceed the$16 bn liquidity floor. Investment cash below includes capex, small acquisitions, strategic investments and buybacks. OP for the opening funding interval is August-September only because July cash is already actual. Net claims deduct all cash and 90% of finance receivables, with interest excluded from valuation OP.

Quarter	Operating cash	Investment	New borrowing	Debt repaid	End debt	End cash
Q3 2026	3,216.9	1,483.3	952.6	1,500.0	29,115.6	16,000.0
Q4 2026	5,048.6	2,225.0	0.0	1,166.2	27,949.4	16,000.0
Q1 2027	5,062.0	2,250.0	886.1	2,000.0	26,835.5	16,000.0
Q2 2027	4,493.3	2,250.0	0.0	543.9	26,291.5	16,000.0
Q3 2027	4,906.7	2,250.0	0.0	956.0	25,335.6	16,000.0
Q4 2027	5,655.8	2,250.0	0.0	1,703.7	23,631.9	16,000.0
Q1 2028	5,381.8	2,300.0	0.0	1,338.6	22,293.3	16,000.0
Q2 2028	5,232.7	2,300.0	0.0	1,188.0	21,105.3	16,000.0
Q3 2028	5,964.0	2,300.0	0.0	1,917.7	19,187.6	16,000.0
Q4 2028	6,307.3	2,300.0	0.0	687.6	18,500.0	17,571.8
Q1 2029	6,060.1	2,350.0	0.0	2,500.0	16,000.0	16,992.6
Q2 2029	5,939.5	2,350.0	0.0	0.0	16,000.0	18,790.9
Q3 2029	7,052.9	2,350.0	0.0	0.0	16,000.0	21,700.9
Q4 2029	7,117.8	2,350.0	0.0	0.0	16,000.0	24,673.9
Q1 2030	6,675.9	2,400.0	0.0	1,000.0	15,000.0	26,113.1
Q2 2030	6,576.4	2,400.0	0.0	0.0	15,000.0	28,450.8
Q3 2030	7,980.8	2,400.0	0.0	0.0	15,000.0	32,190.9
Q4 2030	7,850.1	2,400.0	0.0	0.0	15,000.0	35,798.1

Common operating claim

Minority operating earnings are allocated within existing consolidated group profit and deducted once before valuation. These normalized allocations are model proxies. The lease column includes only claims outside gross debt, avoiding a second deduction for leases already in debt.

Quarter	Consolidated OP	Minority OP	Common OP	Extra lease claim	Net financial claim
Q3 2026	4,853.3	0.0	4,853.3	0.0	5,437.7
Q4 2026	4,898.5	0.0	4,898.5	0.0	4,185.9
Q1 2027	4,839.5	0.0	4,839.5	0.0	2,978.9
Q2 2027	5,074.5	0.0	5,074.5	0.0	2,015.1
Q3 2027	5,448.2	0.0	5,448.2	0.0	677.1
Q4 2027	5,681.7	0.0	5,681.7	0.0	-1,180.4
Q1 2028	5,916.4	0.0	5,916.4	0.0	-2,787.8
Q2 2028	6,250.6	0.0	6,250.6	0.0	-4,425.4
Q3 2028	6,364.9	0.0	6,364.9	0.0	-6,527.8
Q4 2028	6,496.8	0.0	6,496.8	0.0	-8,878.3
Q1 2029	6,792.7	0.0	6,792.7	0.0	-11,121.3
Q2 2029	7,199.5	0.0	7,199.5	0.0	-13,438.8
Q3 2029	7,125.3	0.0	7,125.3	0.0	-16,378.3
Q4 2029	7,189.0	0.0	7,189.0	0.0	-19,380.9
Q1 2030	7,544.6	0.0	7,544.6	0.0	-22,194.5
Q2 2030	8,020.2	0.0	8,020.2	0.0	-25,118.0
Q3 2030	7,753.6	0.0	7,753.6	0.0	-28,858.1
Q4 2030	7,734.2	0.0	7,734.2	0.0	-32,465.4

Enterprise-to-equity reconciliation

20 x forward-four-quarter fully expensed operating profit, less end-window face debt net of cash and 90% of customer-finance receivables, divided by end-window diluted shares. Calendar quarter plus next three.

Valuation quarter	Claims date	Reference claims	Weighted change	Total claims used	Ceiling / share
Q3 2026	Q2 2027	2,015.1	0.0	2,015.1	98.14
Q4 2026	Q3 2027	677.1	0.0	677.1	101.38
Q1 2027	Q4 2027	-1,180.4	0.0	-1,180.4	105.69
Q2 2027	Q1 2028	-2,787.8	0.0	-2,787.8	111.39
Q3 2027	Q2 2028	-4,425.4	0.0	-4,425.4	117.58
Q4 2027	Q3 2028	-6,527.8	0.0	-6,527.8	122.58
Q1 2028	Q4 2028	-8,878.3	0.0	-8,878.3	127.12
Q2 2028	Q1 2029	-11,121.3	0.0	-11,121.3	131.93
Q3 2028	Q2 2029	-13,438.8	0.0	-13,438.8	137.10
Q4 2028	Q3 2029	-16,378.3	0.0	-16,378.3	141.48
Q1 2029	Q4 2029	-19,380.9	0.0	-19,380.9	145.52
Q2 2029	Q1 2030	-22,194.5	0.0	-22,194.5	149.80
Q3 2029	Q2 2030	-25,118.0	0.0	-25,118.0	154.43
Q4 2029	Q3 2030	-28,858.1	0.0	-28,858.1	158.30
Q1 2030	Q4 2030	-32,465.4	0.0	-32,465.4	161.71

The financial claims shown here are matched to the end of each four-quarter earnings window. Operating-quarter cash and claims schedules elsewhere show balances at their own quarter dates.

Claim decisions, overlap and triggers

AI_BEYOND_GUIDE

p: 0.6

Conditional: FY2027 AI revenue$8.3 bn versus the$7.5 bn reference; FY2028-31 conditional/reference$13/11 bn,$17/14 bn,$21/17 bn,$24/19 bn.

overlap: The entire existing guide and three P200 wins are already included. Only excess invoice conversion counts. No incremental Q1 FY2027 uplift.

bridge: 53% gross contribution less 12% engineering, qualification and support =41% OP. Apply 60% probability. FY2027 weighted OP increment$196.8 m.

counter: Orders can be placed early; customer concentration, competing silicon and deployment acceptance remain risks.

bounded sensitivity: FY2027 excess revenue$0.4-1.2 bn; FY2028$1-3 bn.

INCREMENTAL_REFRESH

p: 0.45

Conditional: Extra non-hyperscaler networking sales of$1.2/2/2.5/2.5/2 bn in FY2027-31.

overlap: Reference already includes about 10% FY2027 core growth and price carryover. Do not turn the installed-base or traffic chart into company revenue.

bridge: 65% gross contribution less 25% sales, engineering and support =40% OP. Apply 45% probability; FY2027 weighted OP$216 m.

counter: Budget limits, pull-forward, campus competitors and weak Splunk cloud recognition.

bounded sensitivity: FY2027 excess sales$0.6-1.8 bn.

MEMORY_UNRECOVERED_COST

p: 0.3

Conditional: Extra 0.75% unrecovered costs on 45% of networking revenue, beyond already modeled costs and price increases.

overlap: Known memory costs and pricing are in reference gross margin; only the additional unrecovered component is included.

bridge: 30% probability times networking sales times 45% exposure times 0.75% negative OP. Fixed R&D remains.

counter: Supply agreements and memory efficiency mitigate the risk. Management reported no lead-time escalation.

bounded sensitivity: Extra cost 0.25-1.25%.

SCALE_ACROSS_AND_PRICING_OVERLAP

p: 0.85

increment: 0

overlap: 1

zero reason: Existing P200, Acacia, optical-line-system and pricing economics already sit inside the AI and core reference. Quantum prototypes lack material horizon revenue. A separate TAM or orders uplift would duplicate the same invoices.

Remaining bounded uncertainties

- The systems/optics split and product margins are analytical. The 60/40 order mix is not a disclosed recognized-revenue mix.

- Monthly calendarization approximates a 13-week fiscal calendar.

- Latest common shares plus 35 m last-quarter dilution proxy form the initial denominator; future issuance, withholding and cash repurchases are explicit.

- No chip-level invoice economics are disclosed. Product margin, R&D allocation and recognition timing remain assumptions.

- The$4 bn nonmarketable investment basket and$354 m minority claim are excluded together; speculative gains are not capitalized.

- Management Q&A was read through accessible web reproductions; primary prepared remarks and decks are retained.

- Active buybacks assume future authorization renewals. Fully rebuilt alternatives stop at the current$8.1 bn authority or stop after September 2026.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

[1] Q3 2026 release | https://s21.q4cdn.com/812015656/files/doc_news/CISCO-REPORTS-THIRD-QUARTER-EARNINGS-2026.pdf | Archived SHA-256: 281d890d75bc6360a170d37b7c2d4bba3af834dbfe3477c196faa44516a31599

[2] Investor 20260219 | https://investor.cisco.com/files/doc_presentation/2026/02/Cisco-Investor-Relations-Deck-2-19-26.pdf | Archived SHA-256: 4052d89267ab1c9798501961b5043502bca07f0ff9029baa06ca9911193351a2

[3] 10K 2026 | https://s21.q4cdn.com/812015656/files/doc_financials/2026/q4/028fbac9-c5ba-409b-83ce-dfee9c17fdbc.pdf | Archived SHA-256: 1a02d7787ab8bbe822f22932f1b2e7f960c94d12666232dd07009447f7d9a36e

[4] Q4 2026 release | https://s21.q4cdn.com/812015656/files/doc_earnings/2026/q4/earnings-result/Q4FY26-Press-Release.pdf | Archived SHA-256: c4c2662acc9a3e1f6f348ae82126cac160bd895aaf42de7fa46cc71bf1319081

[5] Q4 2026 deck | https://s21.q4cdn.com/812015656/files/doc_earnings/2026/q4/presentation/Q4FY26-Cisco-Earnings-Slides.pdf | Archived SHA-256: 295cd4ba2e51db61578d1950363590e83febc9207604523c1c7ba55a4938fd20

[6] Q4 2026 prepared | https://s21.q4cdn.com/812015656/files/doc_earnings/2026/q4/transcript/Q4FY26-Prepared-Remarks.pdf | Archived SHA-256: a6d06a5751db7ab005c60bb0043810c0ecf37422fd6e84048a178ceabdb31c8a

[7] Q3 2026 prepared | https://s21.q4cdn.com/812015656/files/doc_earnings/2026/q3/transcript/Q3FY26-Prepared-Remarks.pdf | Archived SHA-256: 565e512a91ffa9d645749f8a60ce9e7defc5e492ee7c7492535878171362de93

[8] Investor 20260923 | https://s21.q4cdn.com/812015656/files/content_files/2026/Sep/Cisco-Investor-Relations-Deck-9-23-2026.pdf | Archived SHA-256: c3a9fe04cf1325742e28d4e70fd0e40da5a790681cee9a46a24792d970f71a23

[9] Aug12 full management Q&A | 2026-08-12 | https://stockanalysis.com/stocks/csco/transcripts/668273-q4-2026/

[10] May13 full management Q&A | 2026-05-13 | https://stockanalysis.com/stocks/csco/transcripts/555375-q3-2026/

[11] Oct9 Nasdaq regular close | 2026-10-09 | https://stockanalysis.com/stocks/csco/history/